



Triennial Actuarial Valuation 2021

Thames Water UPS (Closed Section)

Sponsor Employer	Thames Water Utilities Limited
Scheme Actuary	Aon
Valuation Date	31/03/2021
Document Status	Final - approved by Trustee
Document Classification	Confidential - BPA Review
Prepared For	Royal London BPA Origination

1. Executive Summary

This report sets out the actuarial valuation of the Thames Water UPS (Closed Section) as at 31 March 2021. The scheme is a defined benefit - final salary (closed section) established by Thames Water Utilities Limited and is currently section closed to new entrants (2011); open to accrual for existing members. The valuation has been prepared in accordance with the Pensions Act 2004, the Scheme Funding Regulations 2005, and the Trustee's Statement of Funding Principles.

As at the valuation date, the scheme held assets of GBP 213.9m against technical provisions of GBP 236.3m, giving a funding level of 88.7% and a deficit of GBP 22.3m. The Trustee has considered the scheme's long-term objective of securing member benefits through a buy-out transaction, and this document forms part of the wider BPA origination pack being prepared for Royal London.

Technical Provisions	GBP 236.3m
Scheme Assets	GBP 213.9m
Funding Deficit	GBP 22.3m
Funding Level	88.7%
Total Membership	1,971
Indicative BPA Premium	GBP 239.7m

2. Scheme Information

Scheme Name	Thames Water UPS (Closed Section)
Sponsor Employer	Thames Water Utilities Limited
Sector	Utilities & Infrastructure
Scheme Type	Defined Benefit - Final Salary (Closed Section)
Scheme Status	Section closed to new entrants (2011); open to accrual for existing members
Trustee	Thames Water Pension Trustee Limited
Scheme Actuary	Aon
Administrator	Capita Pensions
Investment Manager	LGIM
Normal Retirement Age	63
Accrual Rate	1/60th of Final Pensionable Salary per year of service
Revaluation in Deferment	CPI capped at 2.5% p.a. in deferment
Indexation in Payment	CPI capped at 5% p.a. (RPI capped at 5% for pre-2011 service)
Spouse's Pension	60% of member's pension (enhanced)

3. Membership Summary

Category	Count	% of Total	Average Age
Active Members	403	20.4%	52.4
Deferred Members	798	40.5%	56.8
Pensioner Members	770	39.1%	73.2
Total Membership	1,971	100.0%	63.7

Member data has been supplied by the Administrator as at the valuation date and has been subject to the standard data quality checks described in Appendix A. No material data issues were identified that would affect the valuation results. Average ages are weighted by liability.

3.1 Pensioner Age Profile

Age Band	Members	Average Pension (GBP p.a.)
60-64	61	14,820
65-69	138	13,210
70-74	184	12,640
75-79	169	11,480
80-84	123	10,120
85+	92	8,940

4. Funding Position

The funding position has been calculated on the Technical Provisions basis agreed between the Trustee and Sponsor. A separate buy-out basis has been prepared for the BPA transaction pack.

Measure	As at 31/03/2018	As at 31/03/2021
Technical Provisions (GBP m)	222.1	236.3
Scheme Assets (GBP m)	194.6	213.9
Surplus / (Deficit) (GBP m)	-27.5	-22.3
Funding Level	87.6%	88.7%

4.1 Buy-out Basis

Estimated buy-out liability	GBP 271.7m
Estimated buy-out funding level	78.7%
Additional premium vs TP	GBP 35.4m

5. Actuarial Assumptions

The assumptions below have been set by the Trustee having regard to advice from the Scheme Actuary and following consultation with the Sponsor.

Discount Rate (pre-retirement)	Gilts + 2.09% p.a.
Discount Rate (post-retirement)	Gilts + 1.49% p.a.
RPI Inflation	4.45% p.a.
CPI Inflation	2.86% p.a.
Salary Increase (active)	CPI + 1.0% p.a.
Pension Increase (LPI 5%)	2.86% p.a.
Pension Increase (LPI 2.5%)	2.50% p.a.
Base Mortality Table	S3PMA / S3PFA
Mortality Improvements	CMI_2020 with 1.25% long-term rate
Commutation Take-up	80% of maximum tax-free cash
Proportion Married	85% (males), 70% (females)

6. Asset Allocation

The scheme's strategic asset allocation at 31/03/2021 is set out below.

Asset Class	Allocation (%)	Value (GBP m)
Liability-Driven Investment (LDI)	58.0%	117.6
Buy-and-Maintain Credit	21.9%	44.4
Global Equities	10.4%	21.1
Property / Real Assets	6.9%	14.0
Cash & Collateral	8.3%	16.8
Total	105.5%	213.9

The Trustee continues to run a high-hedging LDI strategy, with an estimated hedge ratio of 95% on interest rates and 93% on inflation, measured against the technical provisions liabilities. The Investment Manager, LGIM, reports quarterly against the Statement of Investment Principles.

7. Projected Benefit Cashflows

The table below shows the expected benefit outgo over the next 10 years based on the valuation assumptions. Figures are nominal GBP m.

Year	Pensions in Payment	Lump Sums	Transfers Out	Total
2022	9.5	1.0	0.4	10.5
2023	9.2	1.0	0.4	11.0
2024	9.3	1.1	0.5	10.9
2025	9.5	1.0	0.4	11.2
2026	10.1	1.0	0.4	11.5
2027	9.9	1.1	0.4	11.7
2028	10.1	1.0	0.5	11.6
2029	10.1	0.9	0.4	12.0
2030	10.4	1.0	0.5	12.0
2031	10.8	1.0	0.4	12.0

8. Employer Covenant

The Trustee has obtained an independent assessment of the Thames Water Utilities Limited covenant from a specialist adviser. The covenant is assessed as tending to Strong on the Pensions Regulator's four-point scale, reflecting the sponsor's balance sheet strength, predictable cashflows and continued engagement with the scheme. The Trustee reviews the covenant at least annually.

8.1 Recovery Plan

Deficit Reduction Contribution	GBP 8.4m per annum until 31/03/2031
Recovery Plan End Date	31/03/2031
PPF Annual Levy	GBP 218,900
Expense Reserve	GBP 185,000 p.a.

The Trustee and Sponsor have agreed to accelerate the recovery plan in the event of a successful BPA transaction, with residual deficit contributions continuing at 50% of the current rate until wind-up is complete.

9. BPA Transaction Profile

Transaction Type	Pensioner Buy-in (Phase 1)
Target Completion	Q3/Q4 2022
Indicative Premium (pensioner tranche)	GBP 131.8m
Indicative Premium (deferred tranche)	GBP 107.9m
Total Indicative Premium	GBP 239.7m
Expected Insurer Price Lock	30 days from exclusivity

Appendix A - Data Quality

Member data was supplied by the Administrator in standard CSV format. Standard checks have been performed on dates of birth, pension amounts, commencement dates and spouse data. No material issues were identified that would affect the valuation results.

Appendix B - GMP Equalisation

The scheme has completed GMP equalisation in respect of service between 17 May 1990 and 5 April 1997 following the High Court's Lloyds Banking Group judgment. Residual conversion work is ongoing in advance of buy-out.